

Tech Mahindra Ltd (TECHM)

Information Technology | IT Services

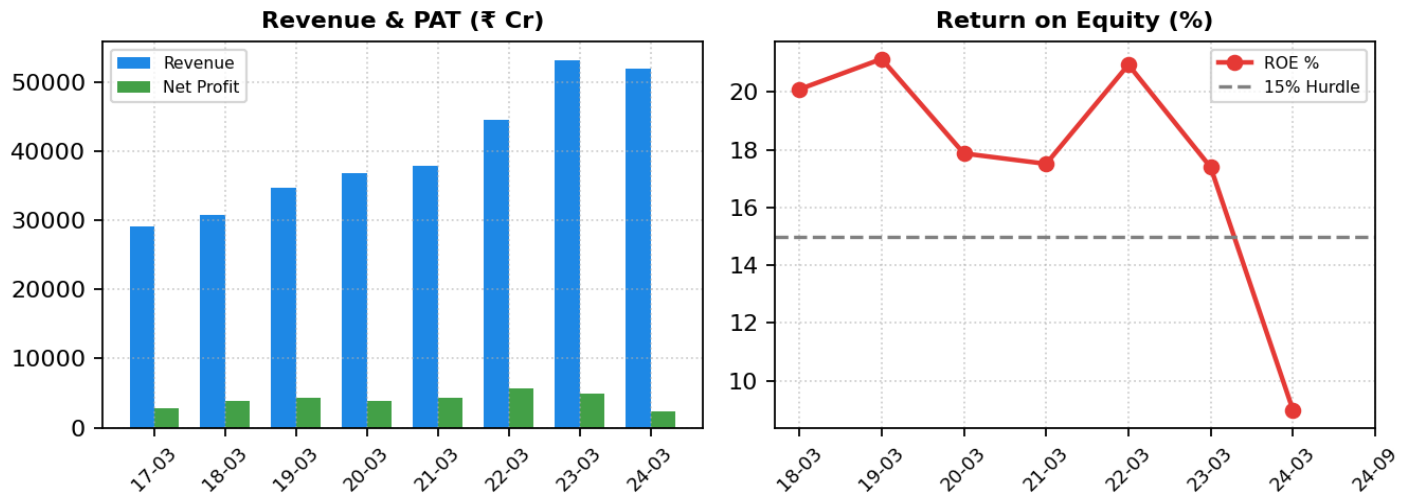
Health Score:
38.0/100

Nifty 100 Fundamental Intelligence

Business Profile: Tech Mahindra Ltd provides comprehensive range of IT services, including IT enabled service, application development and

Market Cap: ■ 3,021,096 Cr	P/E Ratio: 57.4x
Return on Equity: 9.0%	Debt / Equity: 0.10x
Free Cash Flow: ■ 5,058 Cr	5Y Rev CAGR: 8.4%

Historical Performance & Return Ratios

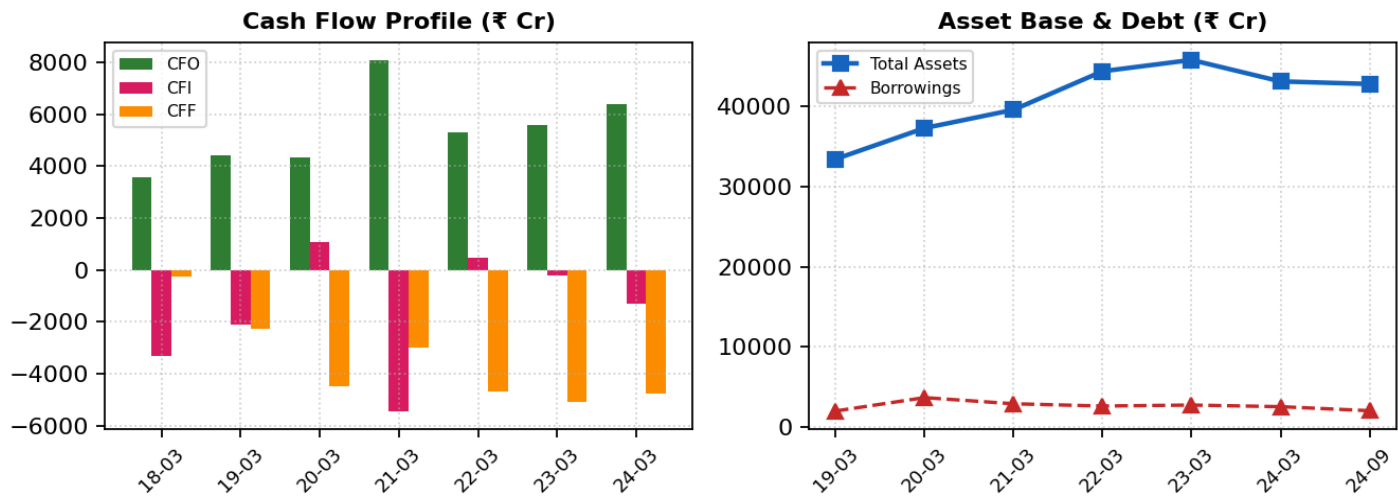


Metric	21-03	22-03	23-03	24-03
Revenue (■ Cr)	37,855	44,646	53,290	51,996
Operating Profit (■ Cr)	6,796	8,020	7,763	4,506
Net Profit (■ Cr)	4,353	5,630	4,857	2,397
EPS (■)	46.0	57.0	50.0	24.0

Financial Quality & Risk Intelligence — TECHM

Capital Allocation Pattern: [Reinvestor & Shareholder Returns](#) | CFO-to-PAT Quality: 2.66x

Cash Flow Dynamics & Solvency



Investment Strengths (Pros)

- **Strengths:** Conservative capital structure with low D/E ratio of 0.10x.
- **Strengths:** High free cash flow generation of ₹5,058 Cr.
- **Strengths:** High quality earnings with CFO-to-PAT conversion ratio of 2.66x.
- **Strengths:** Strong solvency buffer with outstanding interest coverage.

Key Risks & Considerations (Cons)

- **Risk Factor:** Subdued Return on Equity of 9.0% trails large-cap peers.
- **Risk Factor:** Premium equity valuation multiple with P/E of 57.4x.
- **Risk Factor:** Thin operating profit margins at 8.7%.
- **Risk Factor:** Below-average Composite Financial Health score of 38.0/100.